WHAT MAKES GOLD LOANS POPULAR?

The popularity of gold loans is multifold, with the prime reason being convenience. Although a loan against gold is mostly taken to tide over emergencies and due to the short duration of a year or so that the loan is available for, many people use these loans for many other reasons. Here are some reasons for gold loans becoming a preferred choice:



LOW INTEREST RATES: Unlike other forms of secured loans, gold loans are available at a low interest rate. This is extremely useful for borrowers as the cost of the loan goes down when repaying the loan. However, gold loan interest rate varies from institution to institution and so does the term of repayment. So, when choosing a lender, do look out for low-interest rate providers as well as lenders who have flexible interest rate terms when taking a gold loan.

NO IMPACT ON CREDIT SCORE: Unlike personal loans which impact your credit score, a gold loan does not impact it. Normally when you apply for a loan, the lender looks for your credit score before lending you the money. So, if you have a low or poor credit score, you may not get the loan or you may get it at a higher interest rate. In the case of the gold loan, the interest rate is not only low, but it also does not impact your credit score. As you are pledging your gold ornaments, there is collateral doing away with the credit score or any impact on it. There is, however, the risk of losing your ornaments if you do not repay the loan in time.



QUICK APPROVAL AND DISBURSEMENT: The process of issuing a gold loan has become very fast and efficient. Banks, NBFCs and other institutions which extend this loan have made the loan disbursal process smooth and fast. You can get a loan within minutes, if not hours. The funds against the gold loan are transferred to your bank account based on the purity and weight of the gold you plan to pledge.



HIGHER LOAN-TO-VALUE RATIO: Most other secured loans such as loans against a house or other assets are extended at 50-60 per cent value of the asset. However, with a gold loan, you get a higher loan-to-value (LTV) ratio. For instance, if the value of gold you wish to pledge is Rs 50 lakh and you wish to borrow against it at the maximum possible amount; you can get a loan of up to 80-85 per cent depending on the issuer. This means you can borrow up to Rs 40-42 lakh unlike about Rs 25 lakh if you were borrowing against securities or your home. This can work in your favour when using your asset as collateral to borrow.





SAFETY: When you pledge your gold ornaments to the lender as security, the responsibility for their safety is with the bank or institution which lends you the money. They generally ensure that the gold ornaments you have pledged are documented and kept safely in vaults to ensure they are not lost. You can rest assured about the safety of what you have kept with them as collateral.

loan. If the loan is not repaid, the lender has the right to auction or sell the jewellery to recover the loan amount.

Like all loans, there is an interest and principal component when it comes to gold loans as well. In case the interest is not repaid, the outstanding amount increases and the lender doesn't wait for long. The moment the outstanding loan breaches the margin or there is a fall in the price of gold, lenders insist on the repayment of the loan. If for any reason you are unable to do the same, please communicate with the lender and look for revised repayment terms if possible, instead of losing your precious jewellery.

The gold loan space is also operated by unorganised players, especially small-time jewellers. You should be careful in borrowing from them because, unlike institutions, these lenders charge a higher interest on the loan they extend. They also offer a lower value on the gold that you use as collateral. While gold in the form of jewellery is an asset to have in the house, and it does come in handy when you consider tiding over a short period when faced with a financial crunch, it should always be a loan that you should opt for only in the absence of all other options.

For now, with the rising price of gold, at best you could consider using the asset you have to borrow against to tide over emergencies with a strict repayment plan and not play with your household asset which can otherwise only be touched for extreme emergencies. ■

–Narayan Krishnamurthy